Complete Financial Literacy

Module 2 Study Guide

Budgeting & Cash Flow Management

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Building a Budget That Fits Your Real Life

In this lesson: List your income; Identify fixed bills; Track variable costs; Prioritize savings and

Key points

- List income, fixed bills, variable costs, priorities, then calculate
- Apply the steps to a real TT$ example with income TT$ 6,500
- See how a surplus of TT$ 1,200 guides smart money choices

Examples from the lesson

- We are now in Module 2, "Budgeting & Cash Flow Management", Lesson 1: "Building a Budget That Fits Your Real Life".
- In Module 1 you learned the foundations of financial awareness, and now we'll put that knowledge into action by creating a personal monthly budget in TT dollars.
- Suppose your net monthly income is TT$ 6,500 from your job and a small weekend gig.
- Your fixed expenses include rent TT$ 1,800, electricity TT$ 300, water TT$ 150, maxi fare TT$ 200, and a credit union loan TT$ 500.
- Variable costs are groceries TT$ 800, market TT$ 400, phone TT$ 150, entertainment TT$ 300, and miscellaneous TT$ 200.
- Set aside TT$ 500 for an emergency fund and TT$ 300 for a Carnival costume as your priority savings.
- In this example, total expenses come to TT$ 5,300, leaving you with TT$ 1,200 for flexible use.
- We walked through the five steps to build a budget: list income, list fixed bills, track variable expenses, allocate priorities and savings, then calculate and adjust.
- We applied those steps to a worked TT$ example showing income of TT$ 6,500, expenses of TT$ 5,300, and a surplus of TT$ 1,200.

Lesson 2: Tracking Cash Flow Without the Overwhelm

In this lesson: Establish a Simple Weekly Routine; Capture Spending Effortlessly; Tally Income

Key points

- Dedicate 10 minutes weekly to review expenditures
- Use one easy capture tool daily to track cash
- Make gradual micro-adjustments to eliminate minor leaks

Examples from the lesson

- We are diving into Module 2, "Budgeting & Cash Flow Management," with Lesson 2: "Tracking Cash Flow Without the Overwhelm."
- That level of hassle is why most people give up after just four days.
- All you need is ten minutes once a week, usually on a Sunday evening, to review where your dollars went.
- To make this routine effortless, choose just one method to record your spending during the week.
- You can use a small notebook in your pocket, the free notes app on your phone, or save your physical receipts in one dedicated place.
- Whenever you spend TT$20 on a quick doubled-up snack or hand over cash in the maxi, just log the total amount at the end of the day.
- Imagine your net weekly take-home pay from your job or credit union payout is TT$1,500.
- During the week, you pay TT$400 for your share of household groceries and TT$150 for your regular maxi fares to work.
- You also spend TT$100 on Friday afternoon lime doubles and soft drinks, and another TT$150 on miscellaneous purchases at the local corner parlor.
- Your total spending for the week comes to TT$800.
- Subtracting that TT$800 total expense from your TT$1,500 income leaves you with a positive cash flow of TT$700.
- When you notice you spent TT$150 at the parlor in five days, you are not judging yourself.
- Instead, make a minor tweak, like packing lunch two days a week or capping parlor runs at TT$50.
- Tracking cash flow works best when you keep it simple with a quick ten-minute weekly review routine.
- Pick one tool to capture daily spending, tally your totals every Sunday, identify minor cash leaks without guilt, and adjust your plan slightly for the week ahead.
- In our next lesson, Lesson 3: "Planning for Irregular Income and Big Expenses," we will cover how to manage your cash flow when your income changes from month to month or when large annual bills come due.

Lesson 3: Planning for Irregular Income and Big Expenses

In this lesson: Establish Baseline Budget; Build Variable Buffer; Calculate Sinking Funds; Autor

Key points

- Set baseline budget using lowest income @ "manage irregular pay by setting a baseline monthly budget based"
- Use credit union buffer for slow months @ "store high-month surpluses inside a dedicated credit union buffer account"
- Divide annual expenses by twelve months @ "identify all annual big expenses and divide their total costs"

Examples from the lesson

- I’m your instructor, and you are currently in our Complete Financial Literacy course, Module 2: Budgeting & Cash Flow Management.
- Today, we are diving into Lesson 3: Planning for Irregular Income and Big Expenses.
- In a slow month, Marcus brings home TT$4,000, but in a busy month, he makes TT$7,000.
- Instead of spending TT$7,000 during high-earning months, Marcus sets his personal baseline budget at TT$4,000 to cover essential groceries, rent, and utility bills.
- When he earns TT$7,000, he takes the surplus TT$3,000 and deposits it directly into a dedicated buffer account at his local credit union.
- During slow months, Marcus relies on that accumulated credit union buffer to top up his income back to TT$4,000.
- If your annual car insurance premium is TT$2,400, trying to find that full amount in a single month can completely derail your budget.
- Instead, you break that big number down into twelve manageable monthly contributions.
- By dividing TT$2,400 by twelve, Marcus calculates that he needs to save exactly TT$200 every single month.
- When you automate a TT$200 monthly transfer into a designated sink fund, the money builds up quietly in the background.
- By the time his insurance policy renewal date arrives in December, the entire TT$2,400 is waiting in full, completely stress-free.
- Add up your annual vehicle maintenance, school books, land taxes, and Christmas celebrations, then divide the grand total by twelve.
- Third, identify all annual big expenses and divide their total costs by twelve to create steady monthly sink fund targets.

Recap checklist — can you say each one?

Lesson 1: Building a Budget That Fits Your Real Life

- ☐ List income, fixed bills, variable costs, priorities, then calculate
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- ☐ See how a surplus of TT$ 1,200 guides smart money choices

Lesson 2: Tracking Cash Flow Without the Overwhelm

- ☐ Dedicate 10 minutes weekly to review expenditures
- ☐ Use one easy capture tool daily to track cash
- ☐ Make gradual micro-adjustments to eliminate minor leaks

Lesson 3: Planning for Irregular Income and Big Expenses

- ☐ Set baseline budget using lowest income @ "manage irregular pay by setting a baseline monthly budget based"
- ☐ Use credit union buffer for slow months @ "store high-month surpluses inside a dedicated credit union buffer account"
- ☐ Divide annual expenses by twelve months @ "identify all annual big expenses and divide their total costs"